

2.6
Elasticity

Explain:

- Elasticity

Explain and calculate:

- Price elasticity of demand (PED)
- Income elasticity of demand (YED)
- Cross elasticity of demand (XED)
- Price elasticity of supply (PES)

Explain, with the aid of a diagram:

- Different values of PED, YED, XED and PES
- The relationship between PED and a firm's total revenue

Evaluate:

- Factors which determine the value of PED, YED, XED and PES
- The usefulness and significance of PED, YED, XED and PES